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DOCKET NO. 23-08

**MEDITERRANEAN SHIPPING COMPANY, S.A. - POSSIBLE VIOLATIONS OF THE
SHIPPING ACT, 46 U.S.C. §§ 41102(c), 40501, AND 41104(a)(2)(A)**

**BUREAU OF ENFORCEMENT, INVESTIGATIONS, AND COMPLIANCE
EXCEPTIONS TO INITIAL DECISION**

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Julie L. Berestov, Director
Serena L. Tang, Trial Attorney
Theron R. Korsak, Trial Attorney
Office of Enforcement
Bureau of Enforcement,
Investigations, and Compliance
Federal Maritime Commission
jberestov@fmc.gov
tkorsak@fmc.gov
stang@fmc.gov
800 N. Capitol St., N.W.
Washington D.C. 20573
(202) 523 5783

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I. INTRODUCTION

The Mediterranean Shipping Company, S.A. (MSC or Respondent) is the biggest ocean common carrier in the foreign commerce of the United States. It is privately owned with an estimated annual revenue of \$91.1 billion and total profit of \$38.2 billion.¹ MSC's sizeable role in the maritime industry means that the findings in this proceeding impact the Federal Maritime Commission's (FMC or Commission) ability to hold shipping companies accountable and ensure that there is a competitive and reliable international ocean transportation supply system that supports the U.S. economy and protects the public from unfair and deceptive practices. While the ALJ appropriately found that MSC violated the Shipping Act, as amended, at 46 U.S.C. §§ 41102(c) and 40501 in the Initial Decision, the ALJ also made erroneous conclusions of law that should be addressed and corrected. See Initial Decision (In'l Dec.), Docket No. 23-08, Mediterranean Shipping Company, S.A.—Possible Violations of the Shipping Act, 46 U.S.C. §§ 41102(c), 40501, and 41104(a)(2)(A) (ALJ Feb. 25, 2025). Therefore, pursuant to Rule 227 of the Federal Maritime Commission's Rules of Practice and Procedure, 46 C.F.R. § 502.227, the Bureau of Enforcement, Investigations, and Compliance (BEIC) files its exceptions to the Initial Decision served in this proceeding on February 25, 2025. See id.

A. Relevant Procedural History

The Commission initiated this proceeding by issuing an Order of Investigation and Hearing on August 10, 2023. BEIC's Office of Enforcement (OE) filed its Opening Brief on April 3, 2024. See Opening Br. Bureau of Enforcement, Investigations, and Compliance (BEIC Br.), Docket No. 23-08, Mediterranean Shipping Company, S.A.—Possible Violations of the Shipping Act, 46

¹ See Italian Media Reports MSC Profit at USD 38 Billion in 2022, Full Avante News FAN (Oct. 18, 2023) <https://fullavantenews.com/italian-media-reports-msc-profit-at-usd-38-billion-in-2022/>.

U.S.C. §§ 41102(c), 40501, and 41104(a)(2)(A) (April 3, 2024). MSC filed its Response Brief on May 3, 2024. See Reply Br. of Resp. MSC Mediterranean Shipping Company, S.A. (Resp. Br.), Docket No. 23-08, Mediterranean Shipping Company, S.A.—Possible Violations of the Shipping Act, 46 U.S.C. §§ 41102(c), 40501, and 41104(a)(2)(A) (May 3, 2024). BEIC/OE then filed its Reply Brief on May 20, 2024. See Reply Br. Bureau of Enforcement, Investigations, and Compliance (BEIC Reply), Docket No. 23-08, Mediterranean Shipping Company, S.A.—Possible Violations of the Shipping Act, 46 U.S.C. §§ 41102(c), 40501, and 41104(a)(2)(A) (May 20, 2024).

In its brief, OE argued that MSC violated the Shipping Act of 1984 (Shipping Act or Act), as amended, a total of 2,945 times. BEIC Br. at 78. OE posited that MSC had violated: 46 U.S.C. § 41102(c) 18 times by MSC’s use of its merchant clause; 46 U.S.C. § 41102(c) 2,629 times by MSC’s non-operating reefer (NOR) overcharges²; and 46 U.S.C. § 40501 798 times by MSC’s failure to publish detention and demurrage (D&D) rates for NORs. Id. OE recommended a civil penalty of \$74,045 for each merchant clause violation, \$17,609 for each NOR overcharge violation, and \$19,609 for each NOR D&D rate publication violation. Id. OE also requested that the ALJ order MSC to cease and desist violating 46 U.S.C. § 41102(c) through the use of the merchant clause in its bills of lading to assess charges against third parties. Id.

The ALJ found 13 violations of 46 U.S.C. § 41102(c) due to MSC’s use of its merchant clause to bill notify parties. In’l Dec. at 38. The ALJ declined to find any 46 U.S.C. § 41102(c) violations regarding MSC’s NOR overcharges. Id. at 39. The ALJ then found 798 NOR D&D

² Operating reefers need enhanced handling and care to ensure that they properly refrigerate cargo while NORs do not need such enhanced care as they are operating as dry containers. See In’l Dec. at 18–19, FOF 79–83. Charging a NOR the same rate as an operating reefer effectively overcharges the NOR for enhanced care and handling it did not receive.

rate publication violations of 46 U.S.C. § 40501. Id. at 40. The ALJ ultimately imposed civil penalties in the amounts of \$65,000 total for the 13 merchant clause violations and \$15,960,000 total for the 798 NOR D&D rate publication violations. Id. at 50–51. The ALJ imposed a total of \$16,025,000 in civil penalties against MSC and granted OE’s request for a cease-and-desist order. Id.

B. Summary of the Exceptions

BEIC/OE takes exception to the Initial Decision as follows:

- (1) the ALJ erred in concluding that MSC’s overcharging of NORs to its shipper customers was a mistake instead of a practice under 46 U.S.C. § 41102(c).
- (2) the ALJ erred by failing to apply the knowing and willful standard to the ALJ’s findings that MSC committed violations of 46 U.S.C. § 41102(c) with respect to the use of its merchant clause in its bills of lading.

MSC committed violations of 46 U.S.C § 41102(c) when it continuously charged the operating reefer D&D rate to 2,629 NORs. Millions of dollars in overcharges along with incalculable administrative costs to its customers cannot be characterized as a simple mistake. Such a conclusion is a de facto free pass to any regulated entity who claims a simple clerical error was to blame for millions of dollars in overcharges and thousands of incorrect invoices. Such a dangerous precedent should be rejected by the Commission.

Likewise, the knowing and willful standard should not be so weakened that a respondent must have a definitive pronouncement on suspect conduct to commit a violation of the Shipping Act knowingly and willfully. The ALJ incorrectly found that MSC did not commit its 46 U.S.C. § 41102(c) violations knowingly and willfully. For these two reasons, OE submits these discrete exceptions to the ALJ’s initial decision and requests the Commission find that MSC violated 46

U.S.C. § 41102(c) 2,629 times by failing to publish a NOR D&D rate, and that MSC committed its merchant clause violations knowingly and willfully.

II. ARGUMENT

A. MSC's 2,629 NOR Overcharges Violated 46 U.S.C. § 41102(c) and were a Normal, Customary, and Continuous Practice

The ALJ did not opine onto the other elements of 46 U.S.C. § 41102(c) and instead concluded that MSC's 2,629 NOR overcharges were a "single, isolated clerical error" that did not meet the element of practice. In'l Dec. at 42. As the ALJ did not address each element of 46 C.F.R. § 545.4, BEIC/OE shall briefly recapitulate them here.

Section 41102(c) of the Shipping Act states that a "common carrier, marine terminal operator, or ocean transportation intermediary may not fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property." 46 U.S.C. § 41102(c). The Commission's implementing regulations provide that the following elements must be met to establish a successful Section 41102(c) violation:

- (a) The respondent is an ocean common carrier, marine terminal operator, or ocean transportation intermediary;
- (b) The claimed acts or omission of the regulated entity are occurring on a normal, customary, and continuous basis;
- (c) The practice or regulation relates to or is connected with receiving, handling, storing, or delivering property;
- (d) The practice or regulation is unjust or unreasonable . . .

46 C.F.R. § 545.4.

OE previously asserted that each one of the necessary four elements of 46 U.S.C. § 41102(c) was met, and the ALJ recognized numerous facts in this proceeding that support a legal finding for each one of these elements. The first and third element are easily satisfied as MSC is

a common carrier, and its NOR overcharges were committed in relation to the receiving, handling, storing, or delivering of property. In'l Dec. at 5, FOF 19–22.

The fourth element, that the practice or regulation be unjust or unreasonable, was unaddressed by the ALJ. Id. at 40–42. Despite that, the ALJ found that NORs do not require the “enhanced care” that operating reefers do and that MSC baselessly charged 2,629 NORs the operating reefer D&D rate in 2021. Id. at 19, 22. Those charges were inconsistent and unrelated to the services a NOR would receive. Thus, they were unreasonable charges as a “practice must be tailored to meet its intended purpose” and there is no purpose to charge a NOR the operating reefer rates. See Intermodal Motor Carriers Conf., Am Trucking Ass'ns, Inc. v. Ocean Carrier Equip. Mgmt. Ass'n Inc. et al, 6 F.M.C.2d 45, 57 (ALJ Feb. 6, 2023) (“to pass muster under section 41102(c), a regulation or practice must be tailored to meet its intended purpose.”); see also BEIC Br. at 56–57.

As to the second element, practice, the ALJ found that MSC's 2,629 NOR overcharges were “a mistake, not a practice”. In'l Dec. at 42. This is a dangerous and incorrect conclusion as the ALJ is surmising that a mistake cannot also be a practice, that these two concepts are mutually exclusive. Such a finding implies that because MSC did not intentionally fail to identify NORs in its internal tariff recording system, then its behavior of overcharging NORs the operating reefer rate was not a practice. See id. at 41. This interpretation of practice inappropriately inputs an intent analysis into the statute. It effectively rewrites the law and creates an additional element to establish a Section 41102(c) violation. Such an erroneous holding should be rejected by the Commission for the reasons outlined below.

The ALJ begins his discussion regarding MSC's NOR overcharges with the explanation of “why the NORs were billed at the reefer rate instead of the dry rate.” Id. at 40. This is the

cornerstone flaw in the ALJ's practice analysis. The question of whether violative activity is a "practice," does not begin at how the violative activity in question came to be, but what the activity actually is, *i.e.* whether the activity occurred "normally, customarily, and continuously." Because of this flawed approach, the ALJ conflated the explanation for why MSC overcharged NORs with the question of whether the independent occurrence of 2,629 overcharged NORs was a practice that occurred on a normal, customary, and continuous basis.

The ALJ mischaracterized OE's position as a numerical threshold argument, but that is not the case. In'l Dec. at 41. The occurrence of thousands of unreasonable D&D invoices was MSC's practice in 2021 because MSC's own internal tariff system did not have a "Yes/No" flag to identify NORs. Id. at 40. The fact that this occurred 2,629 times is a symptom of the systematic, oft repeated, "habitual, and continuous manner" that MSC conducted business when its internal tariff system did not have a "Yes/No" flag. See Interpretive Rule, Shipping Act of 1984 (Final Rule Re: Practice), 83 Fed. Reg. 64478, 64479 (Fed. Mar. Comm'n Dec. 17, 2018); see also TCW, Inc. v. Evergreen Shipping Agency (AM.) Corp. & Evergreen Line Joint Serv. Agreement (TCW), 5 F.M.C.2d 192, 199–200 (FMC 2022) (served Dec. 29, 2022); see also id.

The ALJ cites to case law that repeatedly establishes that a practice is not a singular occurrence, but an "often repeated and customary action." See In'l Dec. at 41; see also Intercoastal Investigation, 1935, 1 U.S.M.C. 400, 432 (1935). OE agrees with the ALJ's assessment of the law but disagrees with the ALJ's analysis and application in this proceeding. Again, the violative activity was MSC's *practice*; it was not MSC's clerical error but rather MSC's often repeated and customary act of overcharging NORs. This action was systematically implemented by MSC's own internal tariff system, "which caused its invoicing system to apply reefer rates, rather than dry container rates, to NORs." In'l Dec. at 40.

Referring to MSC’s “clerical error,” the ALJ dangerously states that, “[i]t is hardly surprising in a time of ever-increasing automation of business practices that such an error may propagate to thousands of individual customer interactions, but this does not in and of itself render the error a practice.” Id. at 42. But it is a red herring to consider MSC’s explanation for its unreasonable practice to be a refutation on the existence of MSC’s practice at large. The ALJ places primary emphasis on a singular clerical error that caused MSC’s internal tariff system to apply reefer rates to 2,629 NORs. Id. at 42. This ultimately led the ALJ to erroneously conclude that the entire universe of activity stemming from that error in 2021 “to be a mistake, not a practice.” Id.

Inversely, MSC violated Section 41102(c) 2,629 times because it failed to “establish, observe, and enforce just and reasonable regulations and practices.” 46 U.S.C. § 41102(c). If it was “MSC’s billing practice to treat NORs as dry containers for purposes of assessing Charges,” then it was MSC’s failure to charge 2,629 NORs the operating reefer rate. In’l Dec. at 20, FOF 93–94 (emphasis added). Widespread employee confusion and a knowing and willful failure to publish the NOR D&D rates led to multiple failures to apply MSC’s billing practice.

The crux of this point is that MSC’s *practice* was its billing of NORs itself. The Initial Decision recognizes MSC’s “practice,” see In’l Dec. at 20, ((“[I]t was MSC’s billing practice to treat NORs as dry containers for purposes of assessing Charges.”) FOF 93; (“[T]here was confusion within MSC regarding this practice”) FOF 94.)) Yet the ALJ erroneously concludes that the failure to charge NORs correctly is not a practice but a clerical error. The ALJ justifies this opposing conclusion by focusing incorrectly on MSC’s explanation of its practice rather than the practice itself.

The ALJ’s focus also misses the broader point of the Commission’s definition of “practice”

in the Interpretive Rule. These 2,629 overcharges resulted in MSC billing over \$2 million in unjust D&D charges to numerous shipper customers during the course of one year in 2021. Id. at 21, FOF 97–99. Employee confusion and MSC’s failure to enforce accuracy within its billing system resulted in at least \$857,944.57 of undisputed additional revenue for MSC. See id. at 20–21, FOF 94, 97, 98. The aggregate of these facts that includes thousands of impacted shipments and multiple overcharged customers falls squarely within the Commission’s stated interpretation of Section 41102(c) as one that prioritizes “activities of maritime regulated entities that negatively affect the broader shipping public.” Final Rule Re: Practice, 83 Fed. Reg. at 64479.

To the ALJ’s point regarding the “ever-increasing automation of business practices,” a so-called “clerical error” can result not only in thousands of individual customer interactions, but millions of dollars in unlawful charges, untold hours of administrative headache, and for some smaller businesses who are unable to withstand the weight of these “clerical errors”—it can make or break their livelihoods. See In’l Dec. at 42; see also Stallion Cargo, Inc. – Possible Violations of Sections 10(a)(1) and 10(b)(1) of the Shipping Act of 1984, 99-18, 2001 WL 35725562, *14 (Fed. Mar. Comm’n October 18, 2001) (“Neither the Shipping Act, the Commission’s regulations, nor relevant case law provides a basis upon which to make a distinction between technical and non-technical violations.”)

It is an overly broad conclusion for the ALJ to state that an automated error cannot result in a practice per Section 41102(c). The cases cited by the ALJ dealt with manual one-off occurrences, but the automated invoicing function of MSC’s billing system is different than the withholding of money; a freight forwarder’s failure to notify; a respondent’s failure to specify the number of cartons on a bill of lading; and a carrier’s failure to remit payment. In’l Dec. at 41. It is axiomatic that carriers should be expected to remain compliant with the Shipping Act by

ensuring that their customers are not overcharged repeatedly with respect to thousands of invoices where such overcharges also constitute an unlawful revenue stream for the carriers.

Therefore, the Commission should reject the ALJ's finding under Section 41102(c) regarding MSC's NOR overcharges that a "mistake" cannot also constitute a practice. Such a determination establishes a de facto free pass for any regulated entity to claim that a simple clerical error is to blame for millions of dollars in overcharges to its shipper customers and thousands of incorrect invoices.

B. MSC Knowingly and Willfully Violated the Shipping Act at 46 U.S.C. § 41102(c) with Respect to the 13 Invoices Issued Based on the Application of its Merchant Clause

OE takes exception to the ALJ's interpretation of "knowingly and willfully" under the Shipping Act as it relates to the ALJ's conclusion that MSC did not act with "plain indifference" with respect to the 13 merchant clause violations. In'l Dec. at 45. Furthermore, the ALJ mistakenly reads a requirement into the law that the MSC must have "clear guidance" from the Commission as to the proper party to invoice detention to conclude that the vessel operator "knowingly and willfully" violated the Shipping Act. Id. at 45–46.

1. Legal Standard

The Commission's predecessor, the Federal Maritime Board, defined "knowing and willful" as conduct "purposely or obstinately" disregarding the statute or is plainly indifferent to its requirements. Misclassification of Tissue Paper as Newsprint Paper, 4 F.M.B. 483 (FMB 1954). This definition was subsequently expanded to include "purposely or obstinately; it means gross recklessness, heedlessness, or a callous disregard of the consequences of one's acts, or a plain indifference to the law's requirements." Brokerage on Shipments of Ocean Freight—Max

LePack, Jack Pollack, Phyllis Pollack, Lynne Forwarding Inc., United Export Clothing Co., Inc., Bimor Textile Company, Inc., 5 F.M.B. 435 (FMB 1958). The concept of “plainly indifferent” was ultimately narrowed to “something more than casual indifference and equates with wanton disregard from which an inference can be drawn that the conduct was in fact purposeful; a standard somewhat analogous to the tort concept of ‘gross negligence.’” Equality Plastics, Inc. and Leading Forwarders, Inc.—Possible Violations of Section 16 First Paragraph, Shipping Act, 1916, 17 F.M.C. 217 (FMC 1973).

The Commission has held that a “persistent failure to inform or even to attempt to inform himself by means of normal business resources might mean that a [person] was acting knowingly and willfully in violation of the Act.” Rose International, Inc. v. Overseas Moving Network (Rose), 96-05, 2001 WL 865708, at *47 (Fed. Mar. Comm’n June 1, 2001), (quoting Misclassification of Tissue Paper as Newsprint Paper, 4 F.M.B. 483, 486 (1954)); see also McLaughlin v. Richland Shoe Co., 486 U.S. 128, 133 (1988); Trans World Airlines, Inc. v. Thurston, 469 U.S. 111, 128 (1985); United States v. Illinois Cent. R.R. Co., 303 U.S. 239, 242-43 (1938). “The key issue to be resolved is whether Respondents were in possession of sufficient facts.” Equality Plastics, 17 F.M.C. at 227. The “term ‘knowingly’ imports merely perception of the facts necessary to bring the questioned activity within the prohibition of the statute. The term does not require as a part of its meaning that there necessarily be knowledge or awareness that such activity is in fact prohibited.” Union Petroleum Corp. v. United States, 376 F.2d 569, 573 (10th Cir. 1967); see also Pacific Far East Lines-Alleged Rebates to Foremost Dairies, Inc., et al, 11 FMC 357, 363-364 (1968). The term “willfully” suggests consideration of bad faith. OJ Commerce, LLC, Complainant, v. Hamburg Südamerikanische Dampfschiffahrts-Gesellschaft A/s & Co Kg and Hamburg Sud North America, Inc., Respondents, 6 F.M.C.2d 165, 225–26 (ALJ

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In Commission enforcement proceedings, enhanced civil penalties are awarded “if the violation was ‘willfully and knowingly committed.’” 46 U.S.C. § 41107(a). “Ignorance of Shipping Act requirements or Commission regulations or reckless assumptions that they do not apply are not valid excuses that lessen . . . culpability.” CMI Distribution, Inc., Complainant, v. Service By Air, Inc., Radiant Customs Services Inc. (formerly Known as Sba Consolidators, Inc.), and Las Freight Systems Ltd., Respondents., 2021 WL 5564522, at *7. “A standard of knowing and willful will be used to determine whether or not additional damages are appropriate.” Way Interglobal Network, LLC, Complainant v. Shenzhen Unifelix Scm Limited, Respondent., 2024 WL 1741944, at *42 (FMC April 19, 2024). “In making ultimate findings, it is proper to draw inferences from certain facts when direct evidence is not available, and it has even been held that circumstantial evidence alone may be used to prove the elements of a charge in administrative proceedings.” Waterman Steamship Corp. v. General Foundries, Inc., 26 S.R.R. 1173, 1180, 1993 WL 13975538, at *13 (ALJ Dec. 9, 1993), adopted in relevant part, 26 S.R.R. 1424, 1994 WL 279898 (FMC June 13, 1994). The Commission is entitled to draw reasonable inferences based on its special familiarity with the shipping industry or with human experience generally absent direct evidence. F.M.C. v. Svenska, 390 U.S. 238, 249 (1968).

2. Plain Indifference

In the Initial Decision, the ALJ found “MSC’s practice of invoicing notify parties who were not involved in the movement of containers for detention and demurrage charges violates the incentive principle adopted by the Commission . . . because it does not promote freight fluidity.” In’tl Dec. at 2. Furthermore, “considering common-law principles of agency and contract, MSC’s practice was unreasonable and therefore constitutes a violation of 46 U.S.C. § 41102(c).” Id.

Curiously, given that holding, the ALJ concluded MSC did not act with plain indifference to the Shipping Act; therefore, enhanced civil penalties were not appropriate. Id. at 45–46.

MSC’s conduct was more than plain indifference and equates with wanton disregard from which an inference can be drawn that the conduct was in fact purposeful. MSC had no incentive at the time of the initial invoice to determine to “whom” the detention charges belonged. Id. at 36. MSC used no effort to determine the proper party to invoice detention. Id. In this case the ALJ held, “there is no evidence in the record that MSC’s policy of billing the Notify Parties was contemporaneously based on any consideration other than its own administrative convenience.” Id. (Emphasis added.)

MSC knows the identity of its customers and who to invoice detention. Id. at 11, FOF 38–43. It has service contracts with its customers. Id. at 6–7, FOF 20. The terms of detention billing with its customers are in writing. Id. at 13, FOF 52. An e-mail or phone call to the notify party or the consignee on the bill of lading may have cleared up any billing confusion. Id. at FOF 37–53. In 2018, V. Alexander e-mailed MSC requesting the detention invoices be removed from its account. Id. at 10, FOF 32. MSC ignored the request and in March 2021 it e-mailed V. Alexander an accounting statement that included past due balances and requesting payment of outstanding charges. Id. In response, the president of V. Alexander and separately its attorney informed MSC via e-mail that it had “no obligation to pay for any services performed under contract between [MSC] and [its] merchant customers.” Id. at 10–11, FOF 33–36. MSC replied in writing,

V Alexander is the notify party on these shipments so you were the party who was notified of container arrival at rail. We will reach out to cnee to see if they will accept to pay these charges but we cannot reinvoice without their written confirmation that they will pay these invoices. If you have any contacts to add who can accept these charges please do so. If not we will reach out on our side as well. We will not be able to remove from your account unless they confirm[.] Thanks.

Id. at 11, FOF 36.

MSC made another demand for past due detention charges in April 2021. Id. at 11, FOF 37. In late May and early June 2021, MSC emailed Bridgestone (consignee on V. Alexander bills of lading), asking them to confirm whether they would pay the 2018 detention invoices or if they would need them reissued directly to Bridgestone. Id. at 11, FOF 41. Bridgestone responded stating: “these invoices are from 2018. Bridgestone requires that invoices are received within 45 days of occurrence, or they are voided, and this is stated in our contract. These invoices will need to be settled by MSC.” Id. at 13, FOF 52. (Emphasis added.) This series of e-mail transactions between MSC, the Notify Party, and the Consignee is an example of MSC acting in bad faith, or willfully, by attempting to collect detention from Notify Parties, instead of its customers. It is hard to imagine that the responsible officials at MSC were so uninformed as not to know the identity of the proper parties for billing detention charges.

MSC’s failure to inform or even to attempt to inform itself by means of normal business resources demonstrates knowing and willful violation of the Act. It was advised by the Notify Parties that they were not proper parties to invoice detention, both in 2018 and 2021. Id. at 10–13, FOF 33–35, FOF 44–51, FOF 58, FOF 64. Instead, MSC had put in place policies that acted as barriers making removal of charges from the Notify Party’s account difficult. Id. at 6 (“MSC’s policy is to require written confirmation any time the party receiving an invoice is changed.” FOF 16) (“MSC’s policy is not to remove charges from any account until the new recipient of the invoices has confirmed that it agrees to be billed for those charges.” FOF 17.)

MSC viewed the Notify Parties as “simply the entity that, in certain situations, it is easiest for MSC to send a D&D invoice to, whether or not they have anything to do with the movement of containers.” Id. at 36. In one instance, MSC even opened an account for a Notify Party without

its consent and sent it a detention invoice. Id. at 15–16, FOF 60–61, FOF 65–70. MSC was aware the account it opened was not requested or proper, however, it did nothing to correct the issue. Id. at 17, FOF 70–71, FOF 76. Not until MSC’s customer notified the vessel operator that it was willing to pay the detention invoice did the vessel operator accept payment. Id. at 17–18, FOF 77–78. A reasonable inference may be drawn that MSC developed these policies to turn Notify Parties into collection agents. Id. at 10–14, FOF 31–37, FOF 42–48, FOF 56–58.

As an excuse for its malfeasance, MSC argues in its brief, “[t]he notify parties herein at issue had a beneficial interest³ in the cargo subject to the charges, therefore, invoicing the notify party was reasonable.” Resp. Reply Br. at 11. In contrast, the ALJ concluded the “authority cited by OE establishes that a ‘notify party’ is simply the party to be notified when the goods arrive at their destination.” In’l Dec. at 33. “Nothing on the bills of lading, or anywhere else in the record, would suggest to MSC personnel that the Notify Parties were agents for the purpose of addressing issues related to D&D charges.” Id. at 33. Furthermore, “the Notify Parties, by virtue of their foresight in establishing a mechanism to be reimbursed for costs incurred on behalf of their customers, thereby render any such costs ‘reasonable,’ is troubling.” Id. at 35–36. In fact, the ALJ “did not find it necessary to determine whether the Notify Parties did, in fact, have a lien on the containers.” Id. at 34. “Even if they did, the authority relied on by MSC to argue that such an interest, standing alone, renders its billing practice in this case reasonable is unpersuasive.” Id.

Finally, in the Initial Decision the ALJ read into the “knowingly and willfully” analysis a

³ 46 C.F.R. § 515.2(b) (2002) (Beneficial interest includes a lien or interest in or right to use, enjoy, profit, benefit, or receive any advantage, either proprietary or financial, from the whole or any part of a shipment of cargo where such interest arises from the financing of the shipment or by operation of law, or by agreement, express or implied. The term “beneficial interest” shall not include any obligation in favor of an ocean transportation intermediary arising solely by reason of the advance of out-of-pocket expenses incurred in dispatching a shipment).

requirement that runs contrary to established FMC precedent and law. The ALJ mistakenly held that MSC must have “clear guidance” from the Commission with respect to the proper party to invoice detention to conclude that the vessel operator “knowingly and willfully” violated the Shipping Act. In'l Dec. at 45. There is no such requirement in the law. The ALJ referred to the extensive rulemaking activity surrounding D&D charges concluding “that there was not previously sufficient clarity on this issue, such that MSC could be acting with plain indifference to a specific rule”. Id. This is not relevant to determining whether MSC “knowingly” and “willfully” violated the Shipping Act.

To determine if a Respondent “knowingly and willfully” violated the Shipping Act, a Respondent must be in possession of sufficient facts to bring the questioned activity within the prohibition of the statute. Equality Plastics, 17 F.M.C. at 227; Union Petroleum Corp. at 573. Knowledge or awareness that such activity is “in fact prohibited” is not necessary. OJ Commerce at 226. In this case, MSC entered into contracts to ship cargo. Id. at 7–9, FOF 21–27. A reasonable inference can be drawn that the vessel operator knew the identity of the parties with whom it had contractual privity. On April 11, 2022, counsel for MSC USA responded to a March 10, 2022, FMC letter [stating] . . . “unless a shipment is rated under a service contract which provides that the contract holder will be billed directly, then per diem will be billed to the trucker (notify party). Detention and demurrage are normally billed directly to the merchant.” Id. at 6, FOF 20. This statement demonstrates MSC knew “who” the proper party was to bill detention. Despite this knowledge, MSC had policies in place to charge detention to Notify Parties. Id., FOF 15–17. In this case, MSC was in possession of sufficient facts to bring the questioned activity within the prohibition of the statute. Therefore, MSC knowingly and willfully violated the Shipping Act with respect to the 13 invoices at issue.

III. CIVIL PENALTY DISCUSSION

A. MSC's 2,629 Section 41102(c) Violations Should be Assessed a Civil Penalty

MSC's billing practice, with respect to 2,629 NORs, caused millions of dollars of overcharges in 2021. Id. at 40. It was a failure to enforce a just and reasonable practice, per Section 41102(c). Thus, the Commission should find that MSC violated Section 41102(c) on each of the 2,629 occasions when MSC charged the operating reefer rate against NORs and in conjunction with such a finding, assess an appropriate level of civil penalties for these violations.

Congress gave the Commission statutory authority to assess civil penalties for each violation committed under the Shipping Act and factors to consider in assessing penalties against those found to have violated the Act. 46 U.S.C. §§ 41107(a), 41109. Section 41107(a) provides for the "knowing and willful" standard discussed above. A knowing and willful standard encompasses violations committed with gross negligence or plain indifference to the Shipping Act. See Rose, 2001 WL 865708, at *47; Equality Plastics, 17 F.M.C. at 227. A knowing and willful violation is born out of whether the respondent had "sufficient facts" regarding the violation. Id.

Therefore, the question of whether MSC committed its 2,629 NOR overcharges knowingly and willfully depends on whether MSC had "sufficient facts" regarding the violations. Irrespective of the reason why so many NORs were billed the reefer rate—clerical error or not—thousands of invoices reflected the application of the incorrect rate and MSC knew, should have known, or had the means to know that this was occurring.

In this matter, MSC's Nationwide Demurrage/Detention/Perdiem Director at MSC USA was made aware of a faulty billing issue on September 2, 2021. In'l Dec. at 21, FOF 100. But the billing issue was not purportedly fixed until September 16, 2021. Id., FOF 103. This was a two-week period where MSC admitted explicit knowledge of its erroneous billing system.

Additionally, some NORs were still charged the reefer rate after September 16, 2021. Id. at 22, FOF 104. While the record does not distinguish how many of the 2,629 overcharged NORs occurred after September 2, 2021, there were at least thirteen invoices issued after September 16, 2021, with erroneous rates and multiple customer complaints regarding the NOR overcharge issue. Id. at FOF 94, 104.

Furthermore, prior to September 16, 2021, MSC had over 900 disputes regarding incorrect reefer charges on NORs. Id. at 21, FOF at 97. MSC then refunded \$1,201,639.80 for charges incorrectly paid to MSC due to invoices erroneously charging reefer rates to NORs. Id. at 22, FOF 107. Refunds totaling more than a million dollars should constitute sufficient knowledge that there is a recurring failure within MSC's billing system. Proceeding with the status quo after receiving over 900 disputed charges is akin to negligence regarding MSC's internal failures to properly bill and invoice NORs.

MSC's internal "confusion" was a contributing factor to its 2,629 NOR overcharges. See Id. at 20, FOF 94. An unwritten "billing practice" cannot have the same applied consistency as a published tariff. Yet, MSC knowingly and willingly failed to publish NOR D&D rates in its tariff. Id. at 40, 46. Despite the 925 disputed invoices and \$1,201,639.80 in refunds, MSC did nothing to correct the problem until September 16, 2021. Id. at 21, FOF 103. Moreover, MSC's internal staff confusion regarding the proper billing of NORs persisted. Id. at 20–21, FOF 94, 105. MSC still did not publish its NOR D&D rates in its tariff until March 9, 2023. Id. at 22, FOF 107. Thus, based on the facts and evidence discussed above, OE respectfully urges the Commission to apply the knowing and willful standard in its assessment of a civil penalty to MSC's 2,629 Section 41102(c) violations.

B. Increased Civil Penalties – Merchant Clause Violations

As previously discussed, MSC “knowingly and willfully” violated the Shipping Act with respect to the 13 invoices it issued based on the application of its merchant clause. At the time of the initial invoicing, MSC knew the identities of the parties with whom it had contractual privity, however, it persistently failed to inform or even to attempt to inform itself by means of normal business resources to identify the proper party to invoice detention. “There is nothing on the bills of lading, or anywhere else in the record, that would suggest to MSC personnel that the Notify Parties were agents for the purpose of addressing issues related to D&D charges.” In’l Dec. at 33. OE established that a “notify party” is simply the party to be notified when the goods arrive at their destination. Id. The fact that a party is listed as a notify party on a bill of lading raises no presumption that the party is, for example, the intended consignee. Id. MSC’s detention invoicing of Notify Parties was more than casual indifference and equates with wanton disregard from which an inference can be drawn that the conduct was in fact purposeful. In other words, MSC’s actions were grossly negligent. MSC used the Notify Parties for its own convenience to collect detention that another party owed.

The Commission should apply a standard of knowing and willful to determine whether additional civil penalties are appropriate with respect to the 13 merchant clause violations. The ALJ’s assessment of a civil penalty in the amount of only \$5,000 per violation is not commensurate with the level of civil penalties that accompany “knowing and willful” violations of the statute.⁴ The Commission should increase the civil penalty to an amount in the same range as other recent merchant clause cases. See Ocean Network Express Pte. Ltd. and Ocean Network Express (North

⁴ Currently, the maximum penalty for a violation of the Shipping Act that is not knowing and willful is \$14,988. See Civil Monetary Penalty Inflation Adjustment, 90 Fed. Reg. 3040 (Jan. 14, 2025). The maximum penalty for a violation of the Shipping Act that is knowing and willful is \$74,943. Id.

America), Inc. - Possible Violations of 46 U.S.C. § 41102(c), Docket No. 21-17, 2022 WL 17811691, * 3⁵. See also Anderson Intl Transport and Owen Anderson – Possible Violations of Sections 8(A) and 19 of the Shipping Act of 1984, Docket No. 07-02, 2013 WL 9808666, *20 (“Although there is no minimum penalty amount for violations found to be knowing and willful, when the Commission has in the past found violations to be knowing and willful, it has generally assessed penalties that exceed the maximum for violations that are not knowing and willful, or \$6,000 in this case.”)

IV. CONCLUSION

OE acknowledges that the civil penalty amount has been an issue of contention during the briefing stage (as evidenced by MSC’s claim that OE’s proposed amount was unlawful on its face). See Resp. Br. at 24. However, OE wishes to stress that the principles of a practice under Section 41102(c) and the knowing and willful standard under Section 41107(a) are more important to Commission policy and the credibility of the agency’s enforcement program than the amount of civil penalty ultimately assessed.

For the reasons set forth above, OE submits that:

- (1) the ALJ erred in concluding that MSC’s overcharging of NORs to its shipper customers was a mistake instead of a practice under 46 U.S.C. § 41102(c).
- (2) the ALJ erred by failing to apply the knowing and willful standard to the ALJ’s findings that MSC committed violations of 46 U.S.C. § 41102(c) with respect to the use of its

⁵ In FMC Docket No. 21-17, the agreed upon civil penalty for two (2) statutory violations was the maximum allowed by law under the standard of knowing and willful. ONE is alleged to have unreasonably defined and applied its definition of a “merchant” to demand payment from a third-party, when the third party was not in privity of contract with ONE, did not have a beneficial interest in the cargo moved, and did not assent to be bound to ONE’s BOL Terms and Conditions or to be liable for payment of any charges due to ONE.

merchant clause in its bills of lading.

Therefore, OE respectfully requests that the Commission:

- (1) find that MSC violated 46 U.S.C. § 41102(c) 2,629 times by overcharging NORs the operating reefer D&D rate;
- (2) assess a civil penalty for each one of the 2,629 46 U.S.C. § 41102(c) violations in an amount that will deter any future violations and encourage MSC's compliance with the Shipping Act;
- (3) apply the knowing and willful standard against MSC's merchant clause violations;
- (4) assess a civil penalty to an amount in the same range as other recent merchant clause cases for each merchant clause violation; and
- (5) affirm the ALJ's findings as to MSC's violation of 46 U.S.C. § 41102(c) with respect to its merchant clause and MSC's 798 continuing violations of 46 U.S.C. § 40501.

March 19, 2025

Respectfully submitted,
SERENA
TANG

Digitally signed by
SERENA TANG
Date: 2025.03.19
15:10:30 -04'00'

Julie L. Berestov, Director
Serena L. Tang, Trial Attorney
Theron R. Korsak, Trial Attorney
Office of Enforcement
Bureau of Enforcement, Investigations, and
Compliance
Federal Maritime Commission
800 N. Capitol St., N.W.
Washington D.C. 20573
(202) 523 5783
jberestov@fmc.gov
stang@fmc.gov
tkorsak@fmc.gov

CERTIFICATE OF SERVICE

I hereby certify that on this **19th day of March, 2025** a copy of the foregoing has been served upon all counsel of record in accordance with 46 C.F.R. Part 502.

SERENA
TANG

Digitally signed by
SERENA TANG
Date: 2025.03.19
15:10:07 -04'00'

Serena L. Tang

Wayne R. Rohde
wrohde@cozen.com

Kathryn Sobotta
ksobotta@cozen.com

Rachel Schwartz
rschwartz@cozen.com

Cozen O'Connor
1200 19th Street NW
Washington, DC 20036
(202) 463-2507

Presiding Administrative Law Judge

Alex M. Chintella, Administrative Law Judge
Office of Administrative Law Judges
Federal Maritime Commission
800 N. Capitol St., N.W.
Washington D.C. 20573-0001
judges@fmc.gov